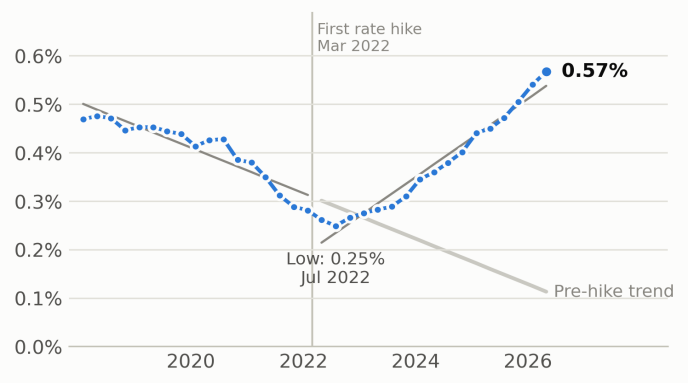
Mortgage credit risk at Canada's Big Six banks

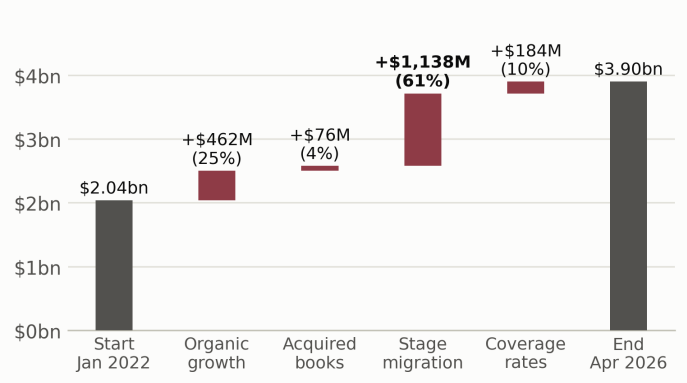
Executive summary · OSFI regulatory returns E3 and M4, fiscal 2018 to Q2 2026 (quarter ending April 2026) · Jeelay Pillai

Overview

About 60% of Canadian mortgages renew in 2025 and 2026, most at higher payments. Using the returns the Big Six file with their regulator, OSFI, this project measures how credit quality in their $1.79 trillion residential mortgage book has changed since rates started rising in March 2022, what drove the rise in loan-loss allowances, and where the risk sits. The public data needed real cleaning first: 22 automated checks are built into the pipeline.



Stage 3 (impaired) share of mortgages, Big Six combined. The trend turned up after the first rate hike.



What moved the mortgage allowance from Jan 2022 to April 2026: 61% came from loans migrating into Stages 2 and 3.

Key findings

- **Impaired mortgages more than doubled from the low.** The Stage 3 share rose from 0.25% (Jul 2022) to 0.57% (April 2026), from $3.9 billion to $10.1 billion, and it is up at all six banks.
- **The trend reversed after the hikes.** An interrupted time-series model puts the trend at -1.2 bp a quarter before the first hike and +2.0 bp after ($p < 0.001$), robust to the break date and to dropping the pandemic quarters.
- **Allowances rose 91%**, from $2.04 billion to $3.90 billion (coverage 13.7 to 21.8 bp). 61% of the rise came from stage migration and only 10% from holding more per dollar of loans.
- **The risk sits in uninsured loans:** 80% of the book but 94% of the allowance. The insured share of the book fell from 44% in 2018 to 22%.
- **Stage 3 is the expensive move.** Shifting 1% of the book from Stage 1 to Stage 3 would add $3.0 billion of allowance (78% of today's), about 13 times the cost of the same shift into Stage 2.

Peer snapshot, quarter ending April 2026

	Gross exposure	Stage 2 share	Stage 3 share	Stage 3 vs Jul 2022	Coverage	Uninsured coverage
RBC	$500bn	3.29%	0.43%	+0.30 pp	18.1 bp	19.4 bp
TD	$321bn	8.33%	0.36%	+0.13 pp	16.0 bp	18.5 bp
BNS	$368bn	7.18%	0.79%	+0.42 pp	39.4 bp	47.8 bp
BMO	$194bn	7.45%	0.54%	+0.33 pp	11.4 bp	14.0 bp
CIBC	$289bn	4.57%	0.53%	+0.31 pp	18.2 bp	20.8 bp
NBC	$118bn	4.75%	1.18%	+0.61 pp	24.2 bp	38.4 bp
Big Six	**$1,790bn**	**5.75%**	**0.57%**	**+0.32 pp**	**21.8 bp**	**25.7 bp**

Recommendations for a retail credit risk team

1. **Watch Stage 3 in the uninsured book first:** it is the most comparable signal across banks and it is where the allowance sits.
2. **Benchmark quarterly changes against the peer median, not levels.** Level gaps mostly reflect foreign books, insurance mix and model choices.
3. **Plan for the trend to continue through the renewal wave:** about 0.08 percentage points a year on the impaired share, roughly $1.4 billion of newly impaired loans a year on today's book.

How it was built

PostgreSQL warehouse (raw, core, mart) with 22 automated data-quality checks; Python (pandas, statsmodels) for the time-series model, Shapley decomposition and stress test; Power BI (star schema, DAX) and Tableau (LOD expressions, parameters) dashboards.

Data: OSFI financial data for banks, Open Government Licence – Canada. Figures are reported accounting estimates, not a statement about any bank's safety or investment advice. Code, notebook and dashboards: github.com/Jeelay1/osfi-mortgage-credit-risk